MANAGEMENT MEMO · STRATEGIC FP&A

monday.com operating plan, Q3 2026 to Q4 2027

Forecast locked before Q3 results. Release plan-2026-locked, Oct 29, 2026 17:31 UTC. SHA-256 125af687…24315419. Results due Nov 9, 2026, 8:30 a.m. ET; scoring pending.

THE QUESTION

If growth decelerates faster than guided after the July 2026 restructuring, how should management adjust hiring and operating spend to protect margin and cash generation without damaging long-term growth?

BOTTOM LINE

Hold the Base plan and act on triggers, not on the forecast. Base FY2027 revenue is $1,706.2M at a 19.3% non-GAAP margin. If growth slows faster and spending stays at the Base level, FY2027 revenue is $1,626.5M and margin 15.3%, falling to 12.9% by Q4 2027. The two cases are only 4.67% of revenue apart, about 1.13× a normal four-quarter forecast miss, so they cannot be told apart in advance.

USD millions	Base FY26	Base FY27	Downside FY26	Downside FY27
Revenue	1,489.2	1,706.2	1,484.3	1,626.5
Non-GAAP operating income	252.1	328.5	247.1	249.4
Non-GAAP operating margin	16.9%	19.3%	16.6%	15.3%
Adjusted FCF (guide basis)	285.0	371.4	281.1	249.4

Base is a beat-adjusted central estimate, not guidance. FY2027 Base FCF assumes 1.13× conversion ($371.4M); range $328.5M at 1.0× to $403.5M at the FY2026 guide ratio. Downside is shown before any management response.

KEY RISK

Growth keeps slowing faster than guided while operating expense dollars stay at plan. Margin falls from 16.6% for FY2026 to 12.9% in Q4 2027, because the revenue shortfall flows through at gross margin while costs do not flex.

Forecast confidence is low beyond two quarters: average backtest error is about 1% one quarter out and 2.4% to 4.1% at three to four quarters; Q3 and Q4 2027 are untested.

RECOMMENDED RESPONSE

Lever 1: hold R&D and G&A 5% below plan. Saves $19.3M in FY2027; worth doing only if it costs less than $21.9M of revenue (1.35%).

Lever 2 (conditional, not automatic): cut S&M 10%. Saves $51.2M; breakeven $58.2M (3.58%). A one-year view ignores the multi-year cost of acquiring fewer customers.

Earliest start: Q2 2027, after two consecutive quarters of a trigger.

TRIGGER LOGIC (EACH MUST HOLD FOR TWO CONSECUTIVE QUARTERS; FIXED AT THE LOCK DATE)

Tier	Trigger	Response
Watch	Revenue more than 1.04% below the Base path (Q4 2026: below $390.8M). Fires on 3 of 8 backtest quarters.	Review only. No spending action.
Action	Revenue at or below the Downside path (Q4 2026: $390.0M), or revenue beat vs guidance midpoint below 1.48%. Chosen after the Watch test; not out-of-sample.	Lever 1.
Action + T3	As above, and net adds of customers above $50K ARR at or below 194 per quarter.	Add Lever 2 (conditional).

Net dollar retention is a narrative indicator, not a trigger: the backtest showed it does not reliably translate into revenue.

WHAT IS STILL UNKNOWN

- The growth cost of cutting spend cannot be measured from public data; decisions rest on breakeven revenue loss.
- Whether the August 10 free cash flow guide excludes restructuring (the July 22 filing says it does; the August 10 filing is silent). To check on Nov 9.
- Q3 2026 actuals and severance paid; any new buyback. Restructuring savings and the headcount path are not disclosed.

Public-data case study built from SEC filings; information cutoff October 28, 2026. This is not monday.com's internal budget and is not guidance. Sourced / Derived / Assumed labels, checks and sources are in monday_plan.xlsx (349 checks, 0 failing). Repository: github.com/2samfelix/monday-operating-plan. Prepared by Sam Felix.